

Most Favoured Nation Treatment

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1 Introduction

The interpretation of investment treaty standards by arbitral tribunals is infamous for its lack of consistency and legal certainty.¹ Most favoured nation (MFN) treatment clauses in investment treaties reflect this trend. MFN treatment is one of the most inconsistently applied standards in investment treaty arbitration.

In essence, MFN treatment is a component of the non-discrimination principle under international law.² MFN clauses in a variety of treaty types typically contain a promise by the contracting states that the beneficiaries of that treaty (the ‘basic treaty’) will receive the most favourable treatment that is extended by the contracting states to any third state or its nationals under the relevant state’s domestic law or treaties.³ Historically, MFN clauses were most typically included in economic treaties (governing trade, navigation, or investment) and consular treaties.⁴ Today, MFN clauses are common in international economic

¹ See United Nations Commission on International Trade Law Working Group III (Investor–State Dispute Settlement Reform) Thirty-sixth session Vienna (29 October–2 November 2018) ‘Possible reform of investor–state dispute settlement (ISDS): Consistency and related matters Note by the Secretariat’ (A/CN.9/WG.III/WP.150).

² Suzy H Nikiéma, ‘The Most-Favoured-Nation Clause in Investment Treaties’ IISD Best Practices Series (February 2017) 2 (explaining that the MFN standard reflects the external component of the non-discrimination principle, while the national treatment standard reflects its internal component).

³ The 1978 ILC Draft Articles on MFN Clauses of the International Law Commission (ILC) provide the following definition in Article 4.a: ‘treatment accorded by the granting State to the beneficiary State, or to persons or things in a determined relationship with that State, not less favourable than treatment extended by the granting State to a third State or to persons or things in the same relationship with that third State’. See Draft Articles on MFN clauses with commentaries, adopted by the ILC at its third session in 1978, A/CN.4/SER.A/1978/Add.1 (Pt 2) 18.

⁴ See Stanley K Hornbeck, ‘Most-Favored-Nation Clause’ (1909) 3 American Journal of International Law 395, 398. See also Umut Ozsu, ‘The Ottoman Empire, the Origins of Extraterritoriality, and International Legal Theory’ in Anne Orford and Florian Hoffmann, *The Oxford Handbook of the Theory of International Law* (OUP 2016) 130–32 (discussing the uses of MFN clauses extending to civil and criminal matters concerning the citizens of contracting parties in the other state. For instance, the capitulations used by major powers in the nineteenth century allowed foreign states to exercise consular jurisdiction over civil and criminal matters concerning their citizens either by explicit treaty provisions or via expansion of jurisdiction under the MFN standard in countries that were considered

law.⁵ In that field, their primary aim is to ensure that states afford consistently favourable treatment to economic actors of different nationalities.

Despite this basic framing of MFN treatment, it is widely acknowledged that there is no uniform usage of an ‘MFN standard’ in international law. Indeed, the content and scope of MFN treatment can vary widely depending on the wording of a treaty clause.⁶ Under international investment law, the interpretation of MFN treatment has been influenced, for example, by debates over how much the idea of a general MFN standard in international law should have bearing on an MFN clause in the treaty.⁷ The interpretation of MFN treatment in investment law has also been driven by creative efforts of claimants to ‘import’ substantive standards and procedural rights from third-country investment treaties of the respondent state. This ambitious reliance on MFN clauses to import external treaty standards has now become accepted by many arbitral tribunals and scholars as conventional wisdom,⁸ practically allowing investors to pick and mix investment treaty standards. This position has attracted criticism from a minority of scholars and arbitral tribunals, and states as being inconsistent with treaty law and the general principles of international law applicable to the MFN standard.⁹

‘semi-civilized’); Georg Schwarzenberger, ‘The Most-Favoured-Nation Standard in British State Practice’ (1945) 22 *British Yearbook of International Law* 97.

⁵ ILC, ‘Final Report of the Study Group on the Most-Favored-Nation Clause’ (2015) 2 *Yearbook of the International Law Commission* (Pt Two) UN Doc A/70/10 [20].

⁶ Tanjina Sharmin, ‘The MFN Clause in Investment Law and Arbitration: A Developing Countries Perspective’ in Julien Chaisse and others (eds), *Handbook of International Investment Law and Policy* (Springer 2019) 4; ILC Draft Articles on MFN, Article 4 Commentary, para 13; M Papatrakis, ‘MFN Clauses and Substantive Treatment: A Law of Treaties Perspective of the “Conventional Wisdom”’ (2018) 112 *American Journal of International Law* Unbound 49–54, 50.

⁷ Alejandro Faya Rodríguez, ‘The Most-Favoured-Nation Clause in International Investment Agreements: A Tool for Treaty Shopping?’ (2008) 25(1) *Journal of International Arbitration* 89, 92; Papatrakis (n 6). In the area of trade, the ILC (n 5) has observed that the balance between the words used and the general concept of MFN treatment tipped more in favour of the latter (‘[n]otwithstanding the fact that MFN provisions in the WTO are worded differently, the approach of the Appellate Body has been to treat them as having the same meaning. The textual interpretation of the words has less importance than the underlying concept of MFN treatment’) para 45.

⁸ *Bayindir İsaat Turizm Ticaret Ve Sanayi AS v Pakistan*, ICSID Case No ARB/03/29, Award (27 August 2009) [153] ff; *Rumeli Telekom AS v Kazakhstan*, ICSID Case No ARB/05/16, Award (29 July 2008) [575]–[681]; *Emilio Agustín Maffezini v Kingdom of Spain*, ICSID Case No ARB/97/7, Award (13 November 2000); Papatrakis (n 6); Simon Batifort and J Benton Heath, ‘The New Debate on the Interpretation of MFN Clauses in Investment Treaties: Putting the Brakes on Multilateralization’ (2018) 111 *American Journal of International Law* 873. See for a critique of this position Tomoko Ishikawa, ‘Interpreting the Most-Favoured-Nation Clause in Investment Treaty Arbitration: Interpretation as a Process of Creating an Obligation’ in Charles Sampford, Spencer Zifcak, and Derya Aydın Okur (eds), *Rethinking International Law and Justice* (Routledge 2016).

⁹ *İçkale İsaat Limited, Şirketi v Turkmenistan*, ICSID Case No ARB/10/24, Award (8 March 2016); *Methanex Corporation v USA*, Response of Respondent United States of America to Methanex’s submission Concerning the NAFTA Free Trade Commission’s 31 July 2001 Interpretation (26 October 2001) 9 <https://2009-2017.state.gov/documents/organization/8252.pdf>; Facundo Perez-Aznar, ‘The Use of Most-Favoured-Nation Clauses to Import Substantive Treaty Provisions in International

In this chapter, I unpack these creative approaches and debates about MFN treatment, exploring key aspects of MFN clauses' application in investment law and highlighting the need to pull MFN back to its non-discrimination origins. I discuss pivotal moments when the meaning of MFN treatment was redirected towards worse outcomes in international investment law, blurring the ideal of non-discrimination. The discussion begins with a brief overview of the origins of MFN clauses. It then turns to the 'non-discrimination' principle in international economic law. These introductory sections serve as guideposts for how MFN treatment, by its interpretation, has been extensively side-tracked in international investment law. They set the stage for an examination of basic features of MFN clauses as interpreted in investment treaty awards. Patterns are identified in the face of the many variations in the wording of MFN clauses in the treaties. After this analysis, I return in more detail to debates about the interpretation of MFN clauses by arbitral tribunals. Here, I shed light on the misconceptions surrounding the application of MFN treatment in investment law. Finally, an optimistic note is sounded in the concluding section by reviewing some recent investment treaties and models which have sought to learn from the unfortunate experience with MFN clauses at the hands of arbitrators, and adapt accordingly.

2 Origins of MFN Treatment

The first ancestors of modern MFN clause have been traced to trading relationships among cities in the eleventh century.¹⁰ From the fifteenth century on, MFN clauses were standard in commerce treaties between states, especially so-called friendship, commerce, and navigation (FCN) treaties.¹¹ Despite this medieval pedigree, MFN clauses never became uniform in treaty practice. FCN treaties between states of comparable bargaining power tended to have reciprocal and conditional clauses, focused on ensuring tariff reductions for all trading partners on a going-forward basis.¹² Among states

Investment Agreements' (2017) 20(4) *Journal of International Economic Law* 777; Ishikawa (n 8); Rodriguez (n 7); Christopher Greenwood, 'Reflections on 'Most Favoured Nation' Clauses in Bilateral Investment Treaties' in David D Caron and others (eds), *Practising Virtue: Inside International Arbitration* (OUP 2015).

¹⁰ First Report of the Special Rapporteur, Mr Endre Ustor (21st session of the ILC 1969) A/CN.4/213 (in (1969) 2 Yearbook [10]; Michael Trebilcock, Robert Howse, and Antonia Eliason, *The Regulation of International Trade* (4th edn, Routledge 2013) 54.

¹¹ Hornbeck (n 4)403; First Report of Mr Endre Ustor (n 10) [80].

¹² Jurgen Kurtz, 'The MFN Standard and Foreign Investment: An Uneasy Fit?' (2004) 5(6) *Journal of World Investment and Trade* 861, 863.

with unequal bargaining power, by contrast, the more powerful state typically was the sole beneficiary of an MFN clause.¹³ Thus, European imperial trading companies included unilateral MFN clauses in their treaties with the rulers of Asian civilizations.¹⁴ In the case of the imperial power's own colonies, MFN protections were unnecessary or fundamentally undesirable for the management of trading privileges within the empire.¹⁵ Unilateral concessions of trading benefits were also simply imposed as part of capitulation treaties between western powers and 'semi-civilized' states such as the Ottoman Empire, Iran, China, Siam, and Japan.¹⁶ In contrast to the mutually beneficial exchange of MFN clauses among powerful states,¹⁷ then, such clauses served a distinctively exploitative end in the relations between these same states and other societies.¹⁸

In the first half of the twentieth century, global wars and economic crises largely ruined MFN-based trading relationships.¹⁹ MFN clauses returned only after the Second World War, then becoming a foundation stone, alongside national treatment, for the non-discrimination principle in international trade. MFN treatment is a conceptual pillar of the multilateral trading regime under the WTO. It is captured not only by Article I of the General Agreement on Tariffs and Trade but also by Article II of the General Agreement on Trade in Services and Article 4 of the Agreement on Trade-Related Aspects of Intellectual Property Rights. In turn, MFN treatment was written into investment treaties, and trade agreements with investment chapters, with an ambitious aspiration to embed the ideal of economic non-discrimination into the relatively sprawling field of investor–state relations.

¹³ First Report of Mr Endre Ustor (n 10) [13]–[16].

¹⁴ *ibid* [19].

¹⁵ See Antony Anghie, *Imperialism, Sovereignty and the Making of International Law* (CUP 2004) 250–52; Hornbeck (n 4) 395, 403.

¹⁶ Although initially the Ottoman capitulations were seen as the sovereign's granting of privileges to its trading partners or allies, with the decline of the Empire, they clearly became unilateral concessions granted to western nations particularly after military defeat. See Ozsu (n 4), 129; Anghie (n 15) 84–86; First Report of Mr Endre Ustor (n 10) [20]–[21].

¹⁷ See Ozsu (n 4); Arnulf Becker Lorca, *Mestizo International Law: A Global Intellectual History 1842–1933* (CUP 2015) 81.

¹⁸ See Treaty of Karlowitz (26 January 1699) between the Holy League (Austria, Poland, Venice, and Russia) and the Ottoman Empire; Treaty of Kucuk Kaynarca (21 July 1774) between the Russian Empire and the Ottoman Empire; See Umut Ozsu (n 4); Becker Lorca (n 17) 78–79, 86.

¹⁹ First Report of Mr Endre Ustor (n 10) [30]–[40]; Kurtz (n 12) 864; Trebilcock and others (n 10) 55–56.

3 The Underlying Ideal of Non-discrimination

In essence, non-discrimination in modern international economic law seeks to bar states from discrimination based on nationality without a valid justification. It finds expression in two types of clauses based on relative rather than absolute standards: national treatment and MFN treatment. This root principle of non-discrimination should be the starting point for any application and interpretation of MFN clauses. Yet its promise as an ideal unfortunately has been betrayed in the course of the MFN experience of investment treaty arbitration.

Absent from customary international law, MFN treatment has become standard in economic relations among states by the terms of trade and investment treaties.²⁰ Undoubtedly, this treaty practice was influenced by the increasing volume, and liberalization, of trade and investment in the post-war era of globalization.²¹ Non-discrimination in relation to flows of investment and trade is considered an important contributor to stability in international relations.²² It is conventionally understood to enable competition in the market for all economic actors and thereby increase efficiency and prosperity.²³

Such is the ideal of a liberal trading system. Yet this ideal underpinning MFN treatment has not been rigorously tested in the context of investment liberalization and protection under investment treaties, as distinct from the context of trade relations and the WTO framework. Whether it actually translates into better living and working conditions in host states is a complex question and far from legitimate as conventional wisdom.²⁴ Even so, arbitral tribunals and the surrounding literature of international investment law frequently

²⁰ Nicholas DiMascio and Joost Pauwelyn, 'Nondiscrimination in Trade and Investment Treaties: Worlds Apart or Two Sides of the Same Coin?' (2008) 102(1) *American Journal of International Law* 48; Rudolf Dolzer and Christoph Schreuer, *Principles of International Investment Law* (2nd edn, OUP 2012) 206.

²¹ Peter Muchlinski, *Multinational Enterprises and the Law* (2nd edn, OUP 2007) 628; Matthias Herdegen, *Principles of International Economic Law* (2nd edn, OUP 2016) 66; UNCTAD Pink Series Sequel: Most Favoured Nation Treatment (2010) 14.

²² Trebilcock and others (n 10) 58; See also Kurtz (n 12) 864–65 ('MFN treatment ... was to play a central remedial role in international efforts to reconstruct the world economy after the Second World War').

²³ DiMascio and Pauwelyn (n 20) 54; Trebilcock and others (n 10) 57, 59 (noting the free-riding challenge of broadly applicable MFN in the multilateral trading regime).

²⁴ For an overview of the empirical studies on the contribution of IIL to economic development see Jonathan Bonnitcha, Lauge Poulsen, and Michael Waibel, *The Political Economy of the Investment Treaty Regime* (OUP 2017) 155–79. For an analysis of whether investment treaties enhance FDI inflows see Jason Webb Yackee, 'Do Bilateral Investment Treaties Promote Foreign Direct Investment: Some Hints from Alternative Evidence' (2011) 51 *Virginia Journal of International Law* 397. For an analysis of the 'good governance' effects of investment treaty commitments see Mavluda Sattorova, *The Impact of Investment Treaty Law on Host States: Enabling Good Governance?* (Hart Publishing 2018). See also OECD, 'FDI Qualities Indicators: Measuring the Sustainable Development Impacts of Investment' (2019).

assume greater protections afforded to investors via expansive interpretations of MFN clauses will eventually benefit host states and their populations. When analysing MFN clauses and the resulting arbitral awards, it is important to remember the underlying uncertainty about whether such clauses actually benefit anyone beyond a narrow class of potential claimants and those who service the resolution of their treaty claims.²⁵

The non-discrimination principle has developed differently in international investment law as compared to trade law. These differences arise from the different modes of operation,²⁶ which limit cross-fertilization between the two fields. International trade law is a state-state system. It is largely based on a multilateral regime governed under the WTO umbrella. Even closer trading relationships are established by regional and bilateral agreements.²⁷ In contrast, international investment law lacks a multilateral arrangement and is based on bilateral and regional arrangements between states. It also has the radical feature of granting direct and enforceable rights for individual foreign investors. Trade law largely deals with flow of trade and market access and therefore focuses on conditions of admission of goods or services and internal conditions for their sale or provision.²⁸ The non-discrimination principle in this relatively precise context applies to trading conditions for 'like products' and 'like services'.²⁹ One area of trade law bears more similarities to investment law in terms of breadth of the measures that may affect the beneficiaries. That is provision of services through commercial establishment (Mode 3) in the receiving state under Article I(2)(c) General Agreement on Trade in Services (GATS). Case law emerging from the WTO on the application of MFN treatment to trade in services, particularly through commercial establishment, could provide guidance to arbitral tribunals interpreting MFN in the investment treaty context, particularly on interpretation of the key concepts of 'likeness' and 'treatment'.³⁰ However, this is of limited guidance to investment law owing to the very small number of WTO cases dealing with the application of MFN under GATS at the time of writing.

²⁵ See for a general assessment of who benefited from investment treaty arbitration, Gus Van Harten and Pavel Malysheuski, 'Who Has Benefited Financially from Investment Treaty Arbitration? An Evaluation of the Size and Wealth of Claimants' (2016) 12(3) Osgoode Legal Studies Research Paper No 141.

²⁶ DiMascio and Pauwelyn (n 20) 53.

²⁷ *ibid* 54.

²⁸ *ibid* 53–54.

²⁹ Kurtz (n 12) 865.

³⁰ See eg *European Union and its Member States—Certain Measures Relating to the Energy Sector*, Report of the Panel WT/DS476/R (10 August 2018); *Argentina—Measures Relating to Trade in Goods and Services*, Report of the Appellate Body WT/DS453/AB/R (14 April 2016).

Investment law protections are, in contrast to trade law, vast in scope. It pays little attention to regulating the admission of investments (although this issue is increasingly addressed in investment treaties). Rather, it focuses on the treatment of investments after they are admitted to the host state.³¹ Once admitted, investors and their assets are subject to the whole range of regulatory relationships with the state at all levels and by all branches. In turn, MFN treatment can affect innumerable sets of rules governing the treatment of investors and their business activities over the entire lifespan of a venture.³² Moreover, arbitral tribunals have adopted an expansive view of 'treatment' and 'like circumstances' in relation to MFN clauses. Indeed, there is often no discussion in awards of what even constitutes 'treatment' and of whether third party investors used as comparators are in 'like circumstances'. Thus, tribunals dilute the focus of MFN treatment on non-discrimination in order to envision investment treaty norms regardless of the comparative circumstances of economic actors and regardless of the implied objectives of gaps or ambiguities in the basic investment treaty.³³

DiMascio and Pauwelyn seek to justify the grand normative ambitions of investment law as compared to trade law. They argue that foreign investors and host states take on more risk after an investment is established and operating for a substantial period than importers and exporters do when trading in goods. The latter, it is argued, have less need for each other and more access to alternative partners.³⁴ Further, investment is argued to be more permanent than trade, meaning that non-discrimination needs to apply to single investments for longer periods to protect them from rules, regulations, or other regulatory conduct that may affect the investment.³⁵ They argue further that trade disciplines use non-discrimination to create equal competitive opportunities, while investment discipline focus more on the treatment of individual investments.³⁶ These factors are said to justify more deference to state when interpreting non-discrimination standards in investor–state disputes.³⁷ Yet the purpose of non-discrimination under investment treaties remains the promise of economic liberalization and its intended benefits for states.³⁸ The interpretation of MFN treatment in investor–state disputes must therefore emphasize discrimination,

³¹ Pre-establishment treatment standards for investments are increasingly adopted in integrated trade and investment agreements eg: EU-Canada Comprehensive Economic and Trade Agreement.

³² Rodriguez (n 7) 89, 91.

³³ *ibid* 91–92.

³⁴ DiMascio and Pauwelyn (n 20) 57–58.

³⁵ *ibid* 67–68.

³⁶ *ibid*. See also Greenwood (n 9) 557.

³⁷ DiMascio and Pauwelyn (n 20) 58, 81.

³⁸ See D Schneiderman, 'National Treatment' ch 2 in this volume); ILC (n 5) [75].

as well as show deference, when reviewing state conduct. Unfortunately, as elaborated below, tribunals generally have done neither.

Another crucial difference is that, while non-discrimination is central to trade governance, it plays a lesser role in the terms of investment treaties.³⁹ The latter have been built historically on principles of compensation for expropriation and access to fair remedies in the event of disputes. In trade law, non-discrimination in the admission of goods and services is the fundamental standard. Even if the conditions of market access and sale are restrictive, trade standards on goods and services will be satisfied based on non-discrimination by nationality. Put differently, trade law sets no absolute minimum standard of treatment. In contrast, prohibitions against expropriation without compensation and requirements for fair and equitable treatment operate to protect investors even if the host state's conduct affects local and foreign investors alike. Equality of competitive conditions in the marketplace alone does not satisfy the expectations of investment treaties. In addition, investment law goes well beyond trade law in terms of its remedies and disciplinary scope. The remedies under investment treaties typically consist of damages for the investor's losses, while trade law remedies consist of specific performance by the state to re-establish the equality of competitive conditions regardless of nationality.⁴⁰ Further, in investment law MFN clauses have been interpreted to give investors direct access to broader substantive standards, or even dispute settlement provisions, in third-country treaties.⁴¹ Thus, tribunals use MFN treatment to expand their power to find a breach of standards contained in a third-country treaty and to award compensation, with little or no analysis of whether there are third-country investors who enjoy competitive advantages over the claimant under the basic investment treaty.⁴²

Investment law is also an incredibly diffuse regime based on thousands of treaties interpreted by hundreds of different tribunals. The regime decentralizes decision-making in the extreme. These features exacerbate the instability created by allowing an indeterminate number of private beneficiaries to bring claims and enforce awards.⁴³ MFN treatment becomes far more complex in

³⁹ Kurtz (n 12) 866.

⁴⁰ Pink Series Sequel (n 20) 5.

⁴¹ See Rodríguez (n 7); see also Section III(B) for an overview of the case law.

⁴² This approach was criticized by the US in a letter to the NAFTA Free Trade Commission (*Methanex*) as transforming the MFN clause as a 'choice of law' clause. It was argued by the US that the MFN clause in NAFTA concerns the actual treatment of investors of third states in like circumstances. See *Methanex* (n 9) [9] (<https://2009-2017.state.gov/documents/organization/8252.pdf>); Pérez-Aznar (n 9).

⁴³ See for a detailed analysis of the personal scope of investment treaty protections Anil Yilmaz Vastardis, *The Nationality of Corporate Investors under International Investment Law* (Hart Publishing 2020).

this environment than in the relatively ordered, inter-state framework of trade law. Kurtz puts it aptly:

The transport of the MFN standard from trade into the investment fields seems to have been done without any real analysis as to the implications of this transport. The difficulty with this lack of guidance and forethought is amplified by the potentially broader scope of operation of MFN treatment when applied in the investment context.⁴⁴

The application of MFN clauses under investment treaties cannot be said to have delivered on the underlying promise of improved well-being and prosperity. Investment and trade policies are both just pieces in a complex puzzle of factors contributing to economic well-being. It has been easy to lose sight of this complexity in investment treaty awards and much of the academic literature. Both realms attribute great importance and utility to investment liberalization, highlighting its purported benefits for the rule of law and good governance alongside the promise of development and prosperity.⁴⁵ They are light on empirical evidence to test such hypotheses.⁴⁶ Yet the claims of utility and benefits serve as convenient justifications for tribunal interpretations and scholarly theories. Arbitral tribunals often justify a chosen interpretation by referring to the ideals of investment promotion and protection.⁴⁷ Ultimately, though, they have derailed the MFN standard in investment law from the original ideal of non-discrimination, unlike WTO dispute settlement body which has applied the standard true to this ideal. This divergence of the application of MFN treatment from its purported justification is the subject of the next section.

⁴⁴ Kurtz (n 12) 867.

⁴⁵ For rule of law and good governance arguments to support the system of IIL see, Susan Franck, 'Foreign Direct Investment, Investment Treaty Arbitration and the Rule of Law' (2007) 19 *McGeorge Global Business and Development Law Journal* 337; BK Guthrie, 'Beyond Investment Protection: An Examination of the Potential Influence of Investment Treaties on Domestic Rule of Law' (2013) 45 *NYU Journal of International Law and Politics* 1151; Benedict Kingsbury and Stephan Schill, 'Investor-State Arbitration as Governance: Fair and Equitable Treatment, Proportionality and the Emerging Global Administrative Law' (2009) New York University Public Law and Legal Theory Working Papers 146.

⁴⁶ For empirical work challenging the good governance argument see Sattorova (n 24).

⁴⁷ See eg *Tokios Tokelés v Ukraine*, ICSID Case No ARB/02/18, Decision on Jurisdiction (29 April 2004) [31].

4 Basic Features of MFN Clauses in Investment Treaties

4.1 Coverage of MFN Clauses

MFN clauses in investment treaties establish a relative rather than an absolute standard of treatment. They promise to afford treatment no less favourable than treatment afforded to investors of third countries. According to the *esjudem generis* principle, the treatments compared as MFN should relate to the same subject matter.⁴⁸ In other words, a state may be found in breach of an MFN clause if it ‘treats’ the investor less favourably than third-country investors concerning the same category of issue. There are usually explicit exclusions from the coverage of MFN clauses. For example, exclusions usually apply to treatment under customs unions, economic unions, free trade agreements and tax treaties.⁴⁹ Recently, states have explicitly excluded dispute settlement and fair and equitable treatment clauses in third country treaties from MFN clauses.⁵⁰ They have also excluded the content of older investment treaties from MFN clauses in new treaties.⁵¹ This step may help to address the problem of ‘importation’ of third-country standards to sidestep investment treaty reforms.⁵² The most significant departure has come from India, which omitted MFN treatment entirely from its 2015 model investment treaty and its subsequent treaties.⁵³

The exact wording of MFN clauses varies widely among investment treaties. The International Law Commission has identified six different formulations.⁵⁴ Three are common. These include: (1) clauses that refer broadly to ‘treatment’ of an investor; (2) clauses that refer to treatment of an investor in relation to specific aspects of the investment process;⁵⁵ and (3) clauses that refer to treatment concerning specific or all obligations in the basic treaty,⁵⁶ sometimes but not always expressly including dispute

⁴⁸ ILC (n 5) [35]; Muchlinski (n 21) 629.

⁴⁹ Muchlinski (n 21) 629; Agreement between the Argentine Republic and the Kingdom of Spain on the Reciprocal Promotion and Protection of Investments (signed 3 October 1991, entered into force 28 September 1992), art IV(3) and (4).

⁵⁰ See EU–Canada Comprehensive Economic and Trade Agreement (2016); Argentina–Qatar BIT art 4(4); Argentina–Japan BIT art 3(4).

⁵¹ Iran Slovakia BIT art 4(5); Argentina–Japan BIT art 3(5).

⁵² UNCTAD, World Investment Report 2015: Reforming International Investment Governance, 120 (UN 2015) 136; C Titi, ‘Most-Favoured-Nation Treatment: Survival Clauses and Reform of International Investment Law’ (2016) 33(5) Journal of International Arbitration 425–440, 428.

⁵³ In the subsequent investment treaties signed to date by India, no MFN clause has been included. See India–Belarus, India–Kyrgyzstan, and India–Brazil investment treaties.

⁵⁴ ILC (n 5) [59]–[65].

⁵⁵ *ibid* [62] (Such as ‘establishment, management, maintenance, use, and disposal’ of an investment).

⁵⁶ Argentina–Spain BIT 1991, art IV(2).

settlement.⁵⁷ Despite variations in the wording of MFN clauses in modern treaties, such clauses are, in formal terms, uniformly reciprocal. The historically concessionary MFN clauses that provided benefits on a unilateral basis have not been adopted. That said, asymmetrical benefits may still ensue where one state is disproportionately importing capital from the other. In these circumstances, the capital-importing state's investors would rarely be in a position to invoke an MFN clause.

Importantly, not all MFN clauses refer explicitly to an obligation to afford the same treatment to investors in 'like circumstances' or 'similar situations'.⁵⁸ Yet 'like circumstances' or 'similar situations' lie at the heart of non-discrimination. When tribunals interpret and apply MFN clauses without comparing investors and investments that are in like circumstances, MFN treatment ceases to be a non-discrimination standard. Instead, MFN clauses become a means to pick and choose among the terms of the host state's investment treaties. Tribunals embracing this vision of MFN treatment have left the standard largely devoid of its original justification based on non-discrimination. This detachment from the non-discrimination principle is essential to understanding the emergence of a problematic MFN jurisprudence within investment law.

When arbitral tribunals apply MFN clauses to 'import' standards from third party investment treaties, their analysis does not focus on whether the host state breached the MFN clause by treating third state investors more favourably resulting in losses to the claimant investor. Rather, the analysis focuses directly on whether the host state has breached the external 'imported' standard, without an evaluation that the imported standard does in fact constitute more favourable treatment.⁵⁹ Even if a treaty explicitly links MFN treatment to substantive content, there should still be a comparison between, on the one hand, the treatment actually received by investors under the basic treaty and, on the other hand, that received by third-country investors. Otherwise, it is impossible to find a violation of MFN treatment based on a comparison of investors in like circumstances. In turn, a tribunal cannot say that any investor has received less favourable treatment from the host state, putting it at a competitive disadvantage based on nationality.

⁵⁷ ILC (n 5) [63] (for instance, fair and equitable treatment standard). Most investment treaties that the UK is a party to include treaty provisions explicitly within the scope of the MFN clause, including dispute settlement. See eg UK–El Salvador BIT, art 3(3).

⁵⁸ ILC (n 5) [64].

⁵⁹ *Bayindir* (n 8) [153] ff; *Rumeli* (n 8) [575]–[681]; *Perez-Aznar* (n 9); *Rodriguez* (n 7) 99; *Ishikawa* (n 8) 130.

4.2 Enforcement of MFN Clauses in Investment Treaty Arbitration

This section offers a snapshot of MFN clauses and their interpretation by tribunals in order to reveal wider contours of the debate over MFN treatment. In general, claimant investors have invoked MFN clauses in two ways.⁶⁰ First, they have used them to challenge the treatment received under internal domestic measures of the host state.⁶¹ Secondly, and more commonly, they have used them to claim the benefit of ostensibly more favourable standards in third-country investment treaties of the host state.⁶² This latter usage is particularly controversial.

In the first scenario, tribunals have analysed whether the claimant experienced discrimination by the host state in comparison to third-country investors who are in like circumstances. *Parkerings v Lithuania* offers a good example. In that case, the claimant was a Norwegian investor in Lithuania. It had entered into an agreement with the local government to construct and operate parking structures in the city of Vilnius. It argued, among other things, that the state breached its MFN obligations by treating a Dutch investor more favourably. The Dutch investor was said to have been in like circumstances since it had entered into a similar parking contract with the local government.⁶³ Article IV of the treaty provided: '[i]nvestments made by investors of one contracting party in the territory of the other contracting party ... shall be accorded treatment no less favourable than that accorded to investments made by investors of any third state'.

The *Parkerings* tribunal decided that an evaluation of the state's MFN obligations required a comparison between the claimant's treatment and that of a third-country investor in like circumstances.⁶⁴ The tribunal asked in turn: (1) Is the comparator investor foreign? (2) Are the claimant and the comparator investor in the same economic or business sector? (3) Have the two investors

⁶⁰ Perez-Aznar (n 9) 778.

⁶¹ See *Loewen v USA Loewen Group Inc and Raymond L Loewen v United States of America*, ICSID Case No ARB AF/98/3, Award (26 June 2003) [139]–[140]. See also *Parkerings-Compagniet AS v Republic of Lithuania*, ICSID Case No ARB/05/8; *Ioannis Kardassopoulos v Republic of Georgia*, ICSID Case No ARB/05/18; *Cargill Incorporated v United Mexican States*, ICSID Case No ARB AF/05/2; *Apotex Inc v The Government of the United States of America*, ICSID Case No UNCT/10/2; *Vento Motorcycles Inc v United Mexican States*, ICSID Case No ARB AF/17/3.

⁶² See *Emilio Agustín Maffezini* (n 8); *Siemens AG v Argentine Republic*, ICSID Case No ARB/02/8, Decision on Jurisdiction (3 August 2004); *Bayindir* (n 8); *Mamidoil Jetoil Greek Petroleum Products Société Anonyme SA v Republic of Albania*, ICSID Case No ARB/11/24.

⁶³ *Parkerings v Lithuania*, ICSID Case no ARB/05/8 (2005) [202]–[203].

⁶⁴ *ibid* [369] ('The essential condition of the violation of a MFN clause is the existence of a different treatment accorded to another foreign investor in a similar situation').

been treated differently by the host state? (4) Was the different treatment justified by a legitimate objective? Having examined these issues, the tribunal decided that the claimant and the Dutch investor were not in like circumstances for several reasons. First, one of the claimant's investments had a more adverse impact on historical and archaeological preservation and the protection of the environment.⁶⁵ Such adverse impacts were peculiar to the claimant's investment and justified the different treatment.⁶⁶ There was also no evidence, according to the tribunal, that the two investors had been treated differently in terms of administrative requirements and procedures.⁶⁷ Secondly, the agreements signed by the local government with each investor were sufficiently different to justify the different treatment.⁶⁸ Therefore, it is clear that a thorough evaluation of whether the claimant experienced discrimination in comparison to a third-country investor went to the heart of the MFN analysis.

The second scenario takes the analysis beyond internal domestic measures of the host state. In this scenario, investors have argued that the absence of a standard or clause in the basic treaty itself constitutes less favourable treatment if that standard or clause exists in a third-country treaty. In turn, they have asked the tribunal to import provisions from third-country treaties, whether as a distinct standard from a single treaty or as a desirable mix of standards from several treaties.⁶⁹ In this way, all sorts of clauses can purportedly be imported into the basic treaty. They have included for example:

- umbrella clauses for contractual disputes;⁷⁰
- dispute settlement clauses free from wait periods, from requirements to use local courts, or from other preconditions for a claim;⁷¹
- dispute settlement clauses allowing arbitration as a dispute resolution method where no consent is found at all in the basic treaty;⁷²

⁶⁵ *ibid* [392], [396].

⁶⁶ *ibid* [396].

⁶⁷ *ibid* [396].

⁶⁸ *ibid* [420], [428]–[429].

⁶⁹ See *MTD Equity Sdn Bhd and MTD Chile SA v Chile*, ICSID Case No ARB/01/7.

⁷⁰ *Sergei Paushok, CJSC Golden East Company and CJSC Vostokneftegaz Company v Government of Mongolia*, UNCITRAL (rejected importation of umbrella clause due to specific wording in the applicable basic treaty); *EDF International SA, SAUR International SA and León Participaciones Argentinas SA v Argentine Republic*, ICSID Case No ARB/03/23; *Mr Franck Charles Arif v Republic of Moldova*, ICSID Case No ARB/11/23 (both EDF and Arif awards allowed importation of an umbrella clause contained in a third-party treaty via an MFN clause in the basic treaty).

⁷¹ *Maffezini* (n 8); *Daimler Financial Services AG v Argentine Republic*, ICSID Case No ARB/05/01, Award (22 August 2012); *Hochtief AG v Argentine Republic*, ICSID Case No ARB/07/31, Decision on Jurisdiction (24 October 2011).

⁷² *Hochtief* (n 71) [79]–[82]; *European American Investment Bank AG (EURAM) v Slovak Republic*, UNCITRAL, Award on Jurisdiction (22 October 2012) [447]; See also *Venezuela US, SRL (Barbados) v Bolivarian Republic of Venezuela*, PCA Case No 2013-34 (26 July 2016); *Menzies Middle East and Africa*

- dispute settlement clauses allowing access to a different arbitral institution than in the basic treaty;⁷³
- clauses on the material, temporal, or personal scope of a third-country treaty;⁷⁴
- dispute settlement clauses covering a wider set of disputes than the basic treaty;⁷⁵
- clauses on damages that allow for more generous compensation;⁷⁶
- substantive standards that are completely absent from the basic treaty or worded more beneficially in the third-state treaty.⁷⁷

Further, investors have tried to import clauses from treaties that did not deal with investment protection at all, albeit, in this respect, without success.⁷⁸ Overall, the use of MFN clauses to impugn the favourability of different treaties of the host state has been extraordinary.

The first instance of an MFN clause being invoked by an investor arose in the very first known claim under investment treaties. Perhaps revealing the novelty of the argument, it was unsuccessful. In *AAPL v Sri Lanka*, the tribunal held that the liability standard in a third-country treaty (between Sri Lanka and

SA and Aviation Handling Services International Ltd v Republic of Senegal, ICSID Case No ARB/15/21 (5 August 2016).

⁷³ *Plama Consortium Limited v Republic of Bulgaria*, ICSID Case No ARB/03/24, Decision on Jurisdiction (8 February 2005) [40]; *Garanti Koza LLP v Turkmenistan*, ICSID Case No ARB/11/20, Decision on Jurisdiction (3 July 2013) [38].

⁷⁴ *Yaung Chi OO Trading Pte Ltd v Government of the Union of Myanmar*, ASEAN ID Case No ARB/01/1; *Société Générale in respect of DR Energy Holdings Limited and Empresa Distribuidora de Electricidad del Este SA v Dominican Republic*, LCIA Case No UN 7927, IIC 366 (2008) (Award on Preliminary Objections to Jurisdiction); *Vannessa Ventures Ltd v Bolivarian Republic of Venezuela*, ICSID Case No ARB AF/04/6; *Metal-Tech Ltd v Republic of Uzbekistan*, ICSID Case No ARB/10/3; *The Canadian Cattlemen for Fair Trade v United States of America*, UNCITRAL; on retroactive application of treaties *Técnicas Medioambientales Tecmed SA v The United Mexican States*, ICSID Case No ARB AF/00/2 and *MCI Power Group LC and New Turbine Inc v Republic of Ecuador*, ICSID Case No ARB/03/6.

⁷⁵ *Salini Costruttori SpA and Italstrade SpA v The Hashemite Kingdom of Jordan*, ICSID Case No ARB/02/13; *RosInvestCo UK Ltd v Russian Federation*, SCC Case No V079/2005; *Telenor Mobile Communications AS v Republic of Hungary*, ICSID Case No ARB/04/15; *Renta 4 SVSA Ahorro Corporacionemergentes FI Quasar de Valores SICAV SA Orgor de Valores SICAV SA GBI 9000 SICAV SA and ALOS 34 SL v Russian Federation* SCC CASE NO ARBITRATION V (024/2007); *Señor Tza Yap Shum v The Republic of Peru*, ICSID Case No ARB/07/6; *Beijing Urban Construction Group Co Ltd v Republic of Yemen*, ICSID Case No ARB/14/30.

⁷⁶ *CME Czech Republic BV v Czech Republic*, UNCITRAL, Final Award (14 March 2003) [500]—and see separate opinion of Ian Brownlie.

⁷⁷ *Hesham T M Al Warraq v Republic of Indonesia*, UNCITRAL; *Pope & Talbot Inc v The Government of Canada*, UNCITRAL; *Rumeli* (n 8); *Mamidoil* (n 62).

⁷⁸ *Romak SA (Switzerland) v Republic of Uzbekistan*, UNCITRAL, PCA Case No AA280 (Investor invoked the New York Convention); *Frontier Petroleum Services Ltd v Czech Republic*, UNCITRAL (Investor invoked European Convention on Human Rights).

Switzerland) was not shown by the claimant to be more favourable.⁷⁹ However, the tribunal described the MFN clause as ‘incorporating’ standards from other investment treaties, signalling an openness to MFN clause being interpreted as importing standards from third-country treaties. Moreover, claimant’s counsel had at this early stage explicitly argued that the MFN clause served to improve the basic treaty by incorporating standards from other investment treaties of Sri Lanka.⁸⁰

The pivotal turn came with the well-known and controversial case of *Maffezini v Spain*. For the first time in that case, a tribunal allowed the importation of procedural rules under an MFN clause. Thus, it began the abandonment of MFN’s origins in non-discrimination. The MFN clause in *Maffezini* was Article IV of the Argentina–Spain BIT, which stated: ‘In all matters subject to this Agreement, this treatment shall not be less favorable than that extended by each Party to the investments made in its territory by investors of a third country.’ The same BIT required under its Article X that, before submitting an arbitration claim, investors should first apply to the domestic courts to seek a remedy. If a satisfactory resolution was not obtained within eighteen months, the investor could file for arbitration. Arguing MFN treatment, the claimant in *Maffezini* pointed to Spain’s investment treaty with Chile, which did not require recourse to domestic courts. Thus, Chilean investors were said to be treated more favourably in Spain than Argentinean investors.⁸¹

In examining this MFN argument, neither the claimant nor the tribunal addressed whether there was any actual Chilean investor in like circumstances to the claimant. That is, they did not identify a comparator investor that had resorted to arbitration and whether this step put the claimant at a disadvantage. Spain argued that the

[p]urpose of the most favoured nation clause [is] to avoid discrimination, [and] such discrimination can only take place in connection with material economic treatment and not with regard to procedural matters. Only if it could be established that resort to domestic tribunals would produce objective disadvantages for the investor would it be possible to argue material effects on the treatment owed.⁸²

⁷⁹ *Asian Agricultural Products Ltd v Republic of Sri Lanka*, ICSID Case No ARB/87/3, Final Award (27 June 1990).

⁸⁰ *AAPL v Sri Lanka* (n 79) [30], [54].

⁸¹ *Maffezini* (n 8) [40].

⁸² *ibid* [42].

In response, the tribunal made two key findings. First, it asserted that, if a third-country treaty has more advantageous standards, they can be extended to a claimant simply by the operation of the MFN clause in the basic treaty.⁸³ Secondly, it asserted that the method of dispute settlement is crucial to investor protection and to an investor's treatment.⁸⁴ To support this position, the tribunal relied on the analysis of the arbitration commission in the historical *Ambatielos case*, where the commission found that 'administration of justice' mechanisms available to traders are a matter concerning the treatment of traders.⁸⁵ Further, the *Maffezini* tribunal referred to instances of consular jurisdiction used by colonial powers to secure the rights of their investors in states that were not their colonies, but rather 'semi-civilized' states.⁸⁶ Notably, this unequal structure inherent to imperialism was relied on in *Maffezini* in spite of its incompatibility with international law principles of sovereignty, equality of states, and self-determination.⁸⁷

With a view to the treaty regime in general, the *Maffezini* tribunal also endorsed the 'importation' of standards via MFN clauses as a means to harmonize investment treaty standards and expand investor protection. Even so, it acknowledged limits to the importation of dispute settlement standards, referring vaguely to public policy considerations.⁸⁸ According to the tribunal, MFN clauses could not be used to override such requirements as exhaustion of local remedies or fork-in-the-road clauses. Avoidance of these requirements based on MFN clauses was said to give rise to 'disruptive treaty-shopping'.⁸⁹ How these exceptions could be said to differ from the express precondition in the Spain-Argentina BIT itself—requiring recourse to courts for a set period—was not explained by the tribunal.

Since *Maffezini*, tribunals have disagreed for years over whether MFN treatment allows for the evasion of dispute settlement arrangements in the basic treaty.⁹⁰ Some have argued that MFN clauses only cover substantive standards

⁸³ *ibid* [45].

⁸⁴ *ibid* [46], [54].

⁸⁵ In *Plama v Bulgaria* (n 73) it was held that *Maffezini* (n 8) misconstrued the *Ambatielos* finding on 'administration of justice' because that ruling relates to provisions concerning substantive protection in the sense of denial of justice in the domestic courts. It does not relate to the import of dispute resolution provisions of another treaty into the basic treaty.

⁸⁶ *Plama v Bulgaria* (n 73) [54]. See also Becker Lorca (n 17) 136.

⁸⁷ See for an overview of consular jurisdiction Pawel Czubik and Piotr Szewdo, 'Consular Jurisdiction' Max Planck Encyclopaedia of Public International Law. See also Antony Anghie (n 15) 84–86; Becker Lorca (n 17) 94–95. For a discussion of racism in international investment law see T Van Ho, 'Angels, Virgins, Demons, Whores: Moving Towards an Antiracist Praxis by Confronting Modern Investment Law Scholarship' (2022) 23(2) *Journal of World Investment and Trade* 347.

⁸⁸ *Maffezini* (n 8) [62]–[63].

⁸⁹ *ibid* [63].

⁹⁰ *Plama v Bulgaria* (n 73); *Salini v Jordan* (n 75); *Renta 4 v Russia* (n 75). See for a detailed analysis of awards considering the application of MFN clauses to jurisdiction Julie A Maupin, 'MFN-Based

of treatment and that they do not extend to procedural standards, unless expressly permitted otherwise in the treaty.⁹¹ Others have argued that procedural rights go to the heart of investors' treatment and MFN clauses can import procedural standards, unless expressly excluded by the applicable treaty.⁹² Several tribunals reached opposite conclusions on the issue even for the same MFN clause in the Argentina-Germany BIT.⁹³ Arbitrators have frequently dissented just as international law experts have completely disagreed on the issue.⁹⁴

Arbitral awards contrary to the *Maffezini* approach focus on two concerns:⁹⁵ (1) dispute settlement requirements cannot be framed as an issue of treatment of investors under the MFN standard and (2) a state's consent to dispute settlement cannot be manufactured or modified by the operation of an MFN clause (unless expressly allowed by the clause itself).⁹⁶ Maupin's analysis

Jurisdiction in Investor-State Arbitration: Is There Any Hope for a Consistent Approach? (2011) 14(1) Journal of International Economic Law 157, 160 (Analyses the diverse awards under categories relating to the 'the type of MFN clause interpreted, the MFN question addressed, the outcome of the award and the major reasons given for the outcome').

⁹¹ *Plama v Bulgaria* (n 73) [223]; Zachary Douglas, 'The MFN Clause in Investment Arbitration: Treaty Interpretation Off the Rails' (2011) 2(1) Journal of International Dispute Settlement 97.

⁹² *Renta 4 SVSA and Others v Russian Federation*, SCC Case No V24/2007, Separate Opinion of Charles Brower, para 10 (20 March 2009) ('I see no reason why an issue of the incorporation of broader consent to arbitration under the host State's third-country investment treaties should be treated differently from the consistently accepted application of MFN clauses to substantive standards of treatment ...'); Stephan W Schill, 'Most-Favored-Nation Clauses as a Basis of Jurisdiction in Investment Treaty Arbitration: Arbitral Jurisprudence at a Crossroads' (2009) 10 Journal of World Investment and Trade 189, 210–14.

⁹³ *Daimler v Argentina* (n 71); *Hochtief v Argentina* (n 71); *Wintershall AG v Argentine Republic*, ICSID Case No ARB/04/14, Award (8 December 2008); *Siemens v Argentina* (n 62).

⁹⁴ I Brownlie Dissent in *CME Czech Republic BV v Czech Republic* (n 76) para 11 ('The application of the most-favoured nation clause ... to the compensation provisions of the Dutch Treaty in order to incorporate the substantially different formulation in the U.S. Treaty is an unattractive hypothesis. The presumption must be that the clause promises MFN treatment only in matters of treatment of an investment, and not to the process of dispute settlement'); C Brower Dissent in *Daimler v Argentina* (n 71) (arguing that 'the Award's view on the manner in which the MFN clause affects the 18-month domestic courts requirement is misplaced'. In his view, the MFN clause allows the investor to side-step the domestic recourse requirement and that the 18-month period is a question of admissibility and not jurisdiction). Brower also dissented to the *Renta 4* award's rejection of applying an MFN clause to the issue of dispute settlement; see J Christopher Thomas QC Dissent in *Hochtief v Argentina* Award (where one of the arbitrators was C Brower) (dissenting to the Award's interpretation of the MFN clause to allow the investor to sidestep the domestic recourse requirement in Argentina-Germany BIT). See also L Boisson de Chazournes' Dissenting Opinion in *Garanti Koza LLP v Turkmenistan*, ICSID Case No ARB/11/20, Decision on the Objection to Jurisdiction for Lack of Consent (3 July 2013) paras 40 ff.

⁹⁵ See *Daimler v Argentina* (n 71) 63–119; *Plama v Bulgaria* (n 73). See Douglas (n 91) 113 ('The *Maffezini* doctrine ... permits the jurisdictional mandate of the tribunal to be modified *after* a dispute has arisen at the suit of one of the disputing parties at a time when the claimant investor and respondent host state have already concluded a binding arbitration agreement and have entered into a relationship of procedural equality ... It leads to a mass of wasteful litigation about how to litigate'; Schill disagrees with Douglas on MFN clauses' ability to apply to jurisdictional provisions in SW Schill, 'Allocating Adjudicatory Authority: Most-Favoured-Nation Clauses as a Basis of Jurisdiction - A Reply to Zachary Douglas' (2011) 2(2) Journal of International Settlement 353.

⁹⁶ See eg the UK–Mozambique BIT, which explicitly extends the coverage of the MFN clause to dispute resolution matters in art 3(3).

of the divergent views found no other explanation for disagreements than the interpretative expansive or restrictive approach of each tribunal.⁹⁷ Similarly, Muchlinski has observed that the cases following *Maffezini* ‘assume that dispute settlement clauses are included unless explicitly excluded’,⁹⁸ whereas those that do not adopt the opposite presumption. Thus, the starting point for treaty interpretation governs the outcome. In essence, these different approaches reflect a debate over whether MFN treatment should be transformed into a tool of multilateralism offering the broadest protection possible to investors.⁹⁹

5 MFN Clauses and Treaty Interpretation: Unpacking the Misconceptions and Recalling the Non-discrimination Rationale

There is no single MFN standard in investment treaties. MFN language has evolved since the first modern investment treaty in 1959.¹⁰⁰ Differences of wording may give rise to variations in coverage and justify diverse interpretations. Yet, diversity in interpretation is also often not a consequence of different wording but of different interpretative presumptions.¹⁰¹ Recognizing this dynamic, reform of MFN clauses has been part of a wider recalibration that aims to scale back the unforeseen and undesirable reach of arbitral tribunals and investment treaty protections.¹⁰² As states renegotiate their treaties or sign new ones, they seek to limit the discretion of tribunals by stipulating detailed descriptions and clearer boundaries for MFN treatment.¹⁰³ Against this background, in this section I trace the key debates over the interpretation of MFN clauses, following *Maffezini*, where the regime took a particularly

⁹⁷ Maupin (n 90), 179–80. See also Relja Radovic, ‘Between Rights and Remedies: The Access to Investment Treaty Arbitration as a Substantive Right of Foreign Investors’ (2019) 10(1) *Journal of International Dispute Settlement* 42.

⁹⁸ Muchlinski (n 21) 634.

⁹⁹ For the different positions in this debate see SW Schill, *The Multilateralization of International Investment Law* (CUP 2009) (arguing that MFN is a tool for multilateralising investment treaties); Perez-Aznar (n 9) (arguing that multilateralism emerges from state cooperation not from arbitral decisions).

¹⁰⁰ Germany–Pakistan BIT.

¹⁰¹ See *Daimler v Argentina* (n 71); *Hochtief v Argentina* (n 71); *Wintershall v Argentina* (n 93); *Siemens v Argentina* (n 62).

¹⁰² UNCITRAL WG III identified MFN clauses as one of the areas calling for reform, see n 1; CETA art 8.7(4) explicitly states that MFN clause does not operate to import standards in the abstract—‘MFN clause will be breached if measures adopted result in less favourable treatment’.

¹⁰³ CETA art 8.7(4); Netherlands Draft Model BIT 2018, art 3(3); EU–Vietnam FTA art 2.4 (5); China–UEA BIT, art 4(8); Australia–Uruguay BIT, art 5(1) and (2); Argentina–Japan BIT, art 3(2) and (3); Japan–Jordan BIT, art 4; CPTPP, art 9.5(3).

unfortunate turn, and explain the misconceptions largely caused by the detachment of MFN treatment from its non-discrimination origins.

After the *Maffezini* award was rendered, the main debate on the interpretation of MFN clauses revolved around whether they allowed investors who were protected by the basic treaty to benefit also from dispute resolution clauses in third-country treaties. While this debate has been fierce,¹⁰⁴ it was mostly and long accepted as 'conventional wisdom' that MFN clauses allowed investors to benefit from more favourable substantive standards in third-country treaties.¹⁰⁵ This position has since been questioned. Another key moment was marked by the decision of the arbitral tribunal in *Ickale v Turkmenistan*, challenging the accepted wisdom that MFN clauses automatically allow investors protected under the basic treaty access to more favourable substantive standards in third-party treaties without engaging in a comparison of treatments received by investors.¹⁰⁶ In a much-debated article about the decision in *Ickale v Turkmenistan*, Batifort and Heath have argued for a bottom-up approach in interpreting MFN clauses. Such an approach would mean that the scope of each MFN clause should be evaluated on its merits, instead of assuming that all MFN clauses cover substantive standards regardless of their formulation.¹⁰⁷ Thus, there is a fresh debate about the wisdom of automatically allowing investors to access more favourable substantive standards in third-country treaties.

In the investment law community, there is broad consensus that there is no such thing as a standard MFN clause. Such clauses vary in their wording from one treaty to another.¹⁰⁸ Differently drafted clauses will be interpreted on their own terms under Articles 31 and 32 of the Vienna Convention on the Law of Treaties standards of treaty interpretation. Their scope of application may in turn vary.¹⁰⁹ Yet, diversity in the formulation of MFN clauses does not mean that an interpretation can be detached from the understanding and purpose

¹⁰⁴ See for contrasting interpretations of the Argentina–Germany BIT's MFN clause *Siemens v Argentina* (n 62); and *Hochtief v Argentina* (n 71) (finding in favour of applying MFN clause to benefit the investor from 'more favourable' dispute settlement clause in third party treaty); *Wintershall v Argentina* (n 93); *Daimler v Argentina* (n 71) (finding against applying the MFN clause to benefit the investor from 'more favourable' dispute settlement clause in third party treaty). See also nn 15 and 16 above.

¹⁰⁵ Batifort and Heath (n 8) 873, 877; Paparinskis (n 6) (arguing the presence of state practice on importation of substantive standards). For an argument to the contrary see Rodriguez (n 9).

¹⁰⁶ *İçkale İnşaat Limited Şirketi v Turkmenistan* (n 9).

¹⁰⁷ Batifort and Heath (n 8).

¹⁰⁸ Michael Waibel, 'Putting the MFN Genie Back in the Bottle' (2018) 112 *American Journal of International Law Unbound* 60, 61; Donald McRae, 'Introduction to the Symposium on Simon Batifort' (2018) 114 *American Journal of International Law Unbound* 192; and Batifort and Heath (n 8) 40.

¹⁰⁹ Batifort and Heath (n 8) 40.

of MFN treatment under international law.¹¹⁰ Paparinskis argues that state practice on MFN clauses, expressed through submissions to the International Law Commission and through their pleadings before arbitral tribunals, reveal a wide consensus that MFN clauses allow access to more favourable substantive protections found in third-country treaties.¹¹¹ However, some of recent treaties demonstrate that state practice is evolving, with some states moving away from this position by stipulating in new treaties that substantive standards in other treaties do not in themselves constitute ‘treatment’.¹¹²

At this juncture, it may be helpful to step back from these debates. The procedure-substance question narrows the contours of interpretation of MFN clauses. It also limits the extent to which investment law practice has deviated from the general international law of non-discrimination and of treaties. In the next two sections, the departure of MFN treatment in investment law is unpacked in two ways. First, it is shown how MFN treatment has been divorced from core principle of non-discrimination. Secondly, it is demonstrated that the practice of ‘importation’ from third-country treaties, using MFN clauses, itself deviates from principles of treaty law.

5.1 Misconceptions about the Meaning of ‘More Favourable Treatment’

A peculiar feature of investment treaty law and scholarship is that the idea of ‘more favourable treatment’ has been extended to investment treaty standards in third-country treaties where they are absent from (or narrower than in) the basic treaty. It is true that the use of MFN clauses to determine a state’s obligations by referring to another treaty is not unique to investment law.¹¹³ But the latter is unique in another way. When interpreting MFN clauses, arbitral tribunals rarely consider whether the presence of a third-country treaty standard has led to any less favourable treatment for a claimant in real terms.¹¹⁴ They also do not consider whether a similarly situated investor, protected by the third-country treaty, has actually benefited from the relevant standard,

¹¹⁰ Waibel (n 108) 61.

¹¹¹ Paparinskis (n 6) 51–52.

¹¹² CETA and Dutch Model Investment treaty.

¹¹³ Paparinskis (n 6) 50.

¹¹⁴ Exceptions to this include *ADF Group Inc v United States of America*, ICSID Case No ARB AF/00/1; *Crompton (Chemtura) Corp v Government of Canada*, UNCITRAL, PCA Case No 2008-1, Award (2 August 2010); *İçkale v Turkmenistan* (n 9)—although not exactly formulated in this way.

such that it is given a distinct competitive advantage over the claimant. Arbitral awards and scholarship instead concentrate on MFN in the abstract.

This impractical approach has two consequences for MFN clauses in investment law. The first is that there is broad acceptance that the absence of a particular word or phrase in a third-country treaty automatically amounts to less favourable treatment of an investor.¹¹⁵ While an undertaking of, for example, fair and equitable treatment in another treaty may signal a promise of more favourable treatment of other investors, its mere existence does not automatically establish a breach of the MFN clause in the basic treaty. More is needed. At least it must be shown that some comparator investor received and benefited from FET in the host state in ways putting the claimant at an economic disadvantage.

Besides this lack of attention to the necessary factual comparison of investors, some tribunals have applied an MFN clause without even finding a breach of that clause by the host state. For instance, in *Rumeli v Kazakhstan*¹¹⁶ the tribunal's entire analysis of the MFN clause was to state that the parties agreed that the clause allowed for the importation of standards from third-country treaties.¹¹⁷ It then applied the imported standards and simply assessed whether the state breached 'the BIT'. No reasoning was offered on whether the breach was of the basic treaty's MFN clause or of an imported standard. In all, the tribunal imported four substantive standards from a third-country treaty. These included FET, protection against denial of justice, full protection and security, and an obligation not to impair by unreasonable, arbitrary, or discriminatory measures the management, maintenance, use, enjoyment, or disposal of the investment. From this loot bag of imported standards, the tribunal found a violation only of FET. Nowhere did it consider whether the claimant was treated less favourably than similarly situated investors under the third-country treaty.

Similarly, where a dispute settlement clause in the basic treaty is compared to a clause in a third-state treaty that does not require waiting periods before dispute settlement, the existence of the latter does not automatically establish more favourable treatment. To jump in the abstract to this conclusion, as was done in *Maffezini*, exposes an underlying assumption that courts are always

¹¹⁵ In *ADF v US* (n 114) [194]–[197]. The tribunal challenged this broadly accepted understanding of MFN clauses—'investor must demonstrate the more favourable nature of the invoked treaty provisions via MFN'.

¹¹⁶ *Rumeli v Kazakhstan* (n 8) [615], [618].

¹¹⁷ *ibid* [575].

inferior to investment treaty arbitrators.¹¹⁸ Yet, a precondition of recourse to local remedies does not necessarily disadvantage an investor. Moreover, the necessary analysis cannot be done in the abstract. Under a dispute settlement clause with a wait period, the parties may be encouraged to find an amicable settlement. Doing so can save time and money. It can maintain good will. Both outcomes are more favourable for the investor. Without facts, it cannot be assumed that the different wording of a provision in one treaty is necessarily more favourable than that in another.

There is a related consequence of assessing treaties in the abstract when applying an MFN clause. This approach leaves no room to evaluate whether the investor and its investment actually received less favourable treatment than third-country investors. One study found no investment treaty award that premised a breach of MFN treatment on the investor receiving discriminatory treatment as compared to investors of other states in the host state.¹¹⁹ That suggests a lack of realism in investment law. A minority of awards did engage in such an analysis where the wording of an MFN clause explicitly applied it to investors who were in 'like circumstances' or 'similar situations'.¹²⁰ Tribunals have also engaged in close comparisons of the treatment received by different investors when the alleged MFN breach was based on internal domestic measures of the host state.¹²¹ However, MFN treatment is always a non-discrimination standard. It is therefore crucial to interpret an MFN clause, regardless of its exact wording, by examining actual circumstances of alleged discrimination. Most investor claimants invoke MFN clauses to benefit from third-country treaty standards. Thus, they treat MFN clauses not as safeguards against discrimination but as 'choice of law' clauses.¹²² In *Rumeli v Kazakhstan*,

¹¹⁸ This view is widely held by mainstream IIL practitioners and academics. See Charles Brower Dissenting opinion in *Daimler v Argentina* (n 71) [36]–[38]; Francisco Orrego Vicuña, 'Reports of [Maffezini's] Demise Have Been Greatly Exaggerated' (2012) 3(2) *Journal of International Dispute Settlement* 299, 306–308.

¹¹⁹ Bonnitcha, Poulsen, and Waibel (n 24) 94, table 4.2; See also UNCTAD Pink Series Sequel: Most-favoured Nation Treatment 17 'MFN treatment has rarely been invoked to challenge the actual level of material treatment given to foreign investors as regards establishment, access or competitive conditions in host states'.

¹²⁰ See *İçkale v Turkmenistan* (n 9); for an application of the like circumstances analysis in this way in the context of national treatment clauses see *SD Myers Inc v Government of Canada*, UNCITRAL, Partial Award (13 November 2000) [250].

¹²¹ See *Parkerings v Lithuania* (n 61).

¹²² In a submission made to the NAFTA Free Trade Commission in relation to the interpretation of certain provisions of NAFTA arising from the *Methanex v USA* (n 9) dispute, the USA submitted that 'art 1103 [MFN Clause] is not a choice-of-law clause' 9; UNCTAD Pink Series Sequel MFN 5 ('In the context of international investment, the current debate is not centered on alleged violation or breaches of the MFN treatment *per se*. Instead it focuses on the possibility for claimants to pick from third treaties allegedly more favourable provisions relating to protection standards or ISDS and thereby derogate from or modify provisions of the basic treaty').

for example, the tribunal did not discuss whether the imported treaty standards offered more favourable treatment than those in the basic treaty. It also neglected to discuss whether the investor was competitively disadvantaged and suffered loss as a result of the absence of imported standards in the basic treaty. The wording of an MFN clause is crucial to its interpretation. Yet it is equally important to apply the clause compatibly with the non-discrimination foundation of MFN treatment in international economic law.¹²³

5.2 Misconceptions about the Operation of MFN Clauses

A key challenge for interpreters of MFN clauses is to pin down their effect and function based on the international law of treaty interpretation. What rights and obligations do MFN clauses create? The answer is relatively straightforward when considering the effect of MFN clauses on trade tariffs and quotas. In such cases, an MFN clause in the basic treaty obliges the state to grant no less favourable market access to traders of different third-country nationalities. If state B, under a treaty with state C, gives cotton traders from state C lower tariffs than traders from state A, then state A can invoke an MFN clause in the basic treaty to obtain the same tariffs for its cotton traders. Here, MFN clauses are easy to apply. It is relatively simple to pin down the discriminatory act giving rise to an MFN breach. The situation is different in investment law, especially when allegedly more favourable treatment is found in the third-country treaty itself.

It is largely assumed in investment law that MFN clauses import standards from third-country treaties.¹²⁴ There is no explicit finding that the MFN clause itself was breached. Likewise, there is no discussion of what led to the breach and what loss was suffered by the investor as a result. Ziegler explains that the MFN clause transforms the basic treaty into 'a dynamic source of law'.¹²⁵ By extension, rights and obligations under the basic treaty may fluctuate widely and unpredictably. This has been a widely accepted view among IIL tribunals as to the operation of MFN clauses. But this mode of operation is not compatible with the general principles of international law on MFN clauses.¹²⁶

¹²³ McRae (n 108) 40; Waibel (n 108) 61.

¹²⁴ Christoph Schreuer, 'Introduction: Interrelationship of Standards' in A Reinisch (ed), *Standards of Investment Protection* (OUP 2008) 6; Schill (n 99) 126, 127, 140 ('The use of MFN clauses to import more favourable conditions from third-country BITs is largely uncontested').

¹²⁵ Andreas R Ziegler, 'Most-Favoured-Nation (MFN) Treatment' in A Reinisch (ed), *Standards of Investment Protection* (OUP 2008) 65.

¹²⁶ *Anglo-Iranian Oil Co (United Kingdom v Iran)* [1952] ICJ Rep 2, 533 ('The ICJ in the Anglo-Iranian Oil company case has rejected the notion that an MFN clause "acquires its content only when

Schill argues that importation does not conflict with the *inter partes* effect of treaties. He does so on the basis that importation does not modify the relationship between the parties of the basic treaty. Rather, the content of the third-country treaty 'becomes operative by means of the basic treaty's MFN clause'.¹²⁷ Schill continues by describing the operation of MFN clauses as an 'automatic treaty adaptation mechanism without the need for the State parties to the basic treaty to negotiate anew'.¹²⁸ It is difficult to reconcile the latter part of this approach with the former. Schill's broader rationale for supporting importation of standards is that MFN clauses operate to multilateralize investment treaty law.¹²⁹ That approach conflicts directly with principles of party-based intent in treaty negotiation. It has been criticized by Perez-Aznar as pushing an agenda of multilateralization through arbitral awards instead of state cooperation.¹³⁰ It puts the policy choices of tribunals ahead of the written agreements of states parties.

Greenwood and Perez-Aznar argue that tribunals should abandon the importation approach and focus instead on whether the MFN clause itself was breached. The mechanics of the operation of MFN clauses are essential, regardless of their wording. Unless the basic treaty explicitly says that it 'incorporates' more favourable standards in third-country treaties, MFN clauses should not be read to do so. Otherwise, arbitral tribunals obtain an unauthorized power to decide on violations of an external standard, rather than the MFN commitment in the basic treaty. An investor may be able to demand access to a more favourable standard based on an MFN clause, but that does not incorporate the external standard itself into the basic treaty.¹³¹ The proper focus lies in whether

the grantor State enters into relations with a third State, and its content increases whenever fresh favours are granted to third States". The position of the ICJ was adopted in the ILC Draft Articles on MFN with commentaries, Commentary, art 8(3): 'The view that the third-party treaty (the treaty by which the granting State extends favours to a third State) is the origin of the rights of the beneficiary State (a State not party to the third-party treaty) runs counter to the rule embodied in article 36, paragraph 1, of the Vienna Convention'; para 5: 'Article 8 reflects the view that the basic act [*acte regie*] is the agreement between the granting State and the beneficiary State. Under this agreement, i.e. under the most-favoured-nation clause, the beneficiary State will benefit from the favours extended by the granting State to the third State, but only because this is the common wish of the granting State and the beneficiary State. The agreement between the granting State and a third State creating obligations in their mutual relations does not create obligations in the relations between the granting State and the beneficiary State. It is nothing more than an act creating a condition (*acte condition*)'. For an analysis of the Anglo-Iranian case in its broader political and historical context see Sundhya Pahuja and Cait Storr, 'Rethinking Iran and International Law: The Anglo-Iranian Oil Company Case Revisited' in James Crawford and others (eds), *The International Legal Order: Current Needs and Possible Responses, Essays in Honour of Djamchid Momtaz* (Brill 2017) 53–74.

¹²⁷ Schill (n 99) 127.

¹²⁸ *ibid.*

¹²⁹ *ibid* 121.

¹³⁰ Perez-Aznar (n 9).

¹³¹ Greenwood (n 9) 560–61.

or not the investor was disadvantaged in comparison to a third-country investor in a competitive relationship with the claimant investor. This approach to analysing MFN has guided the application of the standard in the context of trade in services under WTO case law where the presence of a competitive relationship is a precondition of moving on to analysing whether a service provider has been subjected to less favourable treatment.¹³² Following this approach, if two foreign investors in the same sector were subjected to different performance requirements based on their nationality, resulting in one gaining more profits compared to the other, the losing investor could invoke an MFN clause to be compensated for losses arising from less favourable treatment. This approach allows for a departure from the negotiated bargain on performance requirements found in the original treaty where the claimant is otherwise in a competitive disadvantage vis-à-vis an actual third country investor operating in the same sector. It does not, however, allow the rewriting of terms of the basic treaty by importing external standards from a third-country treaty where no actual discrimination has been experienced by the claimant.

6 Conclusion

The interpretation of MFN treatment in investment law has taken several unfortunate turns. At the heart of these is the deviation from the non-discrimination origins of MFN treatment. Tribunals and scholars often invoke Articles 31 and 32 of the Vienna Convention on the Law of Treaties to support their interpretative approaches for MFN clauses. Yet, they come to radically different conclusions about the meaning and operation of similarly or identically worded clauses. Whose interpretation is correct? Largely missing from the awards, whether they resolve issues of dispute settlement or substantive standards, is a granular analysis of the concepts of ‘treatment’ and ‘like circumstances’. Also lacking is the application of these elements of MFN treatment to concrete facts relevant to the specific circumstances of the claimant and its investment.

Meanwhile, states have gradually responded to their experience with MFN clauses by refining the language of new treaties. Increasingly, MFN clauses explicitly exclude dispute settlement from their scope.¹³³ They also use explicit language to limit ‘importation’ of standards from other treaties.¹³⁴ Newer

¹³² *Argentina—Measures Relating to Trade in Goods and Services* (n 30) [6.34].

¹³³ UK–Australia FTA 2021, art 13.6(3); Georgia–Japan BIT 2021, art 3(2).

¹³⁴ See EU and the Netherlands recent treaty practice.

treaties state that substantive obligations in third-country treaties do not automatically constitute ‘more favourable treatment’.¹³⁵ These limitations on what can be called treatment in the application of MFN clauses will likely limit the radius of power of the tribunals. Yet, it remains uncertain how such clauses will be used creatively by claimants or tribunals. If the reformed versions of MFN treatment do not return tribunals to the underlying goal of non-discrimination, this will justify even greater rejection by states, whether by completely excluding MFN clauses from investment treaties¹³⁶ or by completely excluding arbitral tribunals from the resolution of investor–state disputes.

¹³⁵ CETA 8.7(4). See also Iran–Slovakia BIT; Hungary–Kyrgyzstan BIT (2020), art 4(3).

¹³⁶ See Model Indian BIT.